Module 11
Financial Reporting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

Goodwill arising from the acquisition of Lavender	HK$ million
Consideration	8,304
Non-controlling interest (at proportionate share) (HK$10,350 million x 20%)	2,070
	10,374
Less: Fair value of net identifiable assets (W1)	(10,350)
Goodwill	24

(W1): Fair value of net identifiable assets at the acquisition date	HK$ million
Share capital	4,250
Retained earnings	5,500
Fair value adjustments – Intangible assets	600
Fair value of net identifiable assets	10,350

	HK$ million
(W2): Profit attributable to the non-controlling interest (HK$1,700 million x 20%)	340

	HK$ million
(W3): Profit attributable to the owners of Kalmia (HK$62,240 million – HK$340 million (W2))	61,900

Answer 1(b)

	HK$ million
Cash flows from investing activities	
Acquisition of a subsidiary, net of cash acquired (HK$8,304 million – HK$2,080 million)	(6,224)
Purchase of property, plant and equipment [(HK$151,870 million – HK$149,550 million) + HK$14,500 million – HK$7,500 million]	(9,320)
Proceeds from sale of an intangible asset (W4)	400
Acquisition of financial assets [(HK$7,400 million – HK$7,284 million) – HK$12 million]	(104)
Net cash used in investing activities	(15,248)
Cash flows from financing activities	
Dividends paid to non-controlling interest (W5)	(160)
Dividends paid to owners of the parent (W6)	(29,000)
Net cash used in financing activities	(29,160)

(W4):	HK$ million
Carrying amount of an intangible asset disposed of [(HK$90,000 million – HK$87,000 million) + HK$1,400 million + HK$600 million – HK$4,300 million]	700
Loss on disposal of intangible asset	(300)
Proceeds from sale of an intangible asset	400

(W5):	HK$ million
Profit attributable to the non-controlling interest (W2)	340
Non-controlling interest arising from the Acquisition on 1 July 2021 (see Answer 1(a))	2,070
Non-controlling interest, 30 June 2022	(2,250)
Dividends paid to non-controlling interest	160

(W6):	HK$ million
Profit attributable to the owners of the parent (W3)	61,900
Retained earnings, 1 July 2021	272,000
Retained earnings, 30 June 2022	(304,900)
Dividends paid to the owners of the parent	29,000

Answer 2

REPORT

Introduction

Kalmia is considering acquiring 48% shareholding in either Mayflower Limited ("Mayflower") or Nepeta Limited ("Nepeta"). This report explains the classification of such investments when preparing the consolidated financial statements of Kalmia Group if they were to be acquired.

1. Control and de facto control

The key issue is whether Kalmia, with less than half of the shareholdings of Mayflower or Nepeta, would have power over Mayflower or Nepeta after the proposed acquisitions. Specifically, Kalmia needs to assess whether Kalmia would hold voting rights sufficient to unilaterally direct the relevant activities of Mayflower or Nepeta (i.e. if it would have de facto control).

In accordance with HKFRS 10 *Consolidated Financial Statements*, an investor controls an investee if and only if the investor has all the following:

- power over the investee;
- exposure, or rights to variable returns from the involvement with the investee; and
- the ability to use its power over the investee to affect the amount of the investor's returns.

Power is further defined as the existing rights that give the investor the current ability to direct the relevant activities, that is, those activities which significantly affect the investee's returns.

When the investor holds less than a majority of the voting rights but significantly more voting rights than any other shareholders, this may be sufficient evidence of power. When assessing whether an investor's voting rights are sufficient to give it power, an investor considers all facts and circumstances, including:

- the absolute size of the investor's voting rights;
- the proportion of the investor's voting rights relative to other shareholders (i.e. the relative size of the voting rights);
- the dispersion of holdings of other shareholders.

Determining whether an investor has de facto control over an investee is highly judgemental; however, the more voting rights held by the investor, and the more parties that would need to act together to outvote the investor, the more likely the investor's rights are sufficient to give it power.

2. Investment in Mayflower

Assuming Kalmia acquires 48% shareholding in Mayflower, its absolute size would be very close to 50% of the voting rights, which would favour Kalmia having de facto control over Mayflower. However, compared to the other shareholder who would hold 30% of the shares of Mayflower, it is difficult to say that Kalmia would hold much more voting rights relative to the other shareholder. Furthermore, it would require at least 10 other shareholders, on top of the shareholder holding 30% of Mayflower's shares, to co-operate to be able to prevent Kalmia from directing the relevant activities of Mayflower, which would not be too easy, as none of the shareholders have contractual arrangements to consult any of the others or make collective decisions. The dispersion of other shareholdings may favour Kalmia having de facto control over Mayflower.

In this case, it is desirable to look for other facts and circumstances such as whether other shareholders are passive in nature as demonstrated by voting patterns at previous shareholders' meetings. Based on the passive participation of the other shareholders at shareholders' meetings, Kalmia would have a majority of the voting rights necessary to pass a resolution unilaterally (48 / 60 = 80%). Kalmia would, thus, be likely to have de facto control (or power) over Mayflower.

In the absence of any unusual arrangements, Kalmia would be exposed to variable returns from its involvement with Mayflower as it would be entitled to dividends, other distributions of economic benefits from Mayflower, and changes in the value of Kalmia's investment in it. Again, in the absence of any unusual arrangements, Kalmia should be able to use its power over Mayflower to affect the amount of its returns. It is likely that Kalmia would have control over Mayflower and Mayflower would be a subsidiary of Kalmia after the proposed acquisition.

3. Investment in Nepeta

Assuming Kalmia acquires 48% shareholding in Nepeta, similar to the discussion in Section 2 above, its absolute size would favour Kalmia having de facto control over Nepeta. However, compared to the other shareholder who holds 40% of the ordinary shares of Nepeta, Kalmia would not hold much more voting rights relative to the other shareholder. This would require only two other shareholders to co-operate to be able to prevent Kalmia from directing the relevant activities of Nepeta, which would be simple to do even if the shareholders do not have contractual arrangements to consult each other or make collective decisions. As the relative size of the other shareholdings and the dispersion of other shareholders would not give Kalmia sufficient power over Nepeta, it is no longer necessary to evaluate whether the other shareholders are active or passive at shareholders' meetings in this assessment.

Kalmia needs to assess whether Nepeta would be a joint arrangement of Kalmia. HKFRS 11 *Joint Arrangements* defines a joint arrangement as an arrangement of which two or more parties have joint control. A joint arrangement has the following characteristics:

- the parties are bound by a contractual arrangement; and
- the contractual arrangement gives two or more of those parties joint control of the arrangement.

Without a contractual agreement with the other shareholders, it is hard to justify that Nepeta would be a joint arrangement of Kalmia.

Kalmia then needs to assess whether Nepeta would be an associate of Kalmia. HKAS 28 *Investments in Associates and Joint Ventures* defines an associate to be an entity over which the investor has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

There is a rebuttable presumption to demonstrate significant influence. According to HKAS 28, if an investor holds 20% or more of the voting power of the investee, it is presumed that the investor has significant influence unless it can be clearly demonstrated that this is not the case.

As Kalmia would hold 48% of the voting power of Nepeta (greater than 20%) after the proposed acquisition, Kalmia would have significant influence over Nepeta and Nepeta would become an associate of Kalmia.

Answer 3

HKFRS 9 *Financial Instruments* states that, in classifying a financial asset as subsequently measured at amortised cost, fair value through other comprehensive income, or fair value through profit or loss, an entity needs to consider both the entity's business model for managing the financial assets and the contractual cash flow characteristics of the financial asset.

HKFRS 9 further states that a financial asset will be measured at amortised cost if both of the following conditions are met:

- the financial asset is held within a business model whose objective is to hold financial assets to collect contractual cash flows; and

- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding (the "SPPI criterion").

Otherwise, the financial asset will be measured at fair value. In evaluating the SPPI criterion, interest consists of consideration for:

- the time value of money;

- the credit risk associated with the principal amount outstanding during a particular period time; and

- other basic lending risks and costs, as well as a profit margin.

As Kalmia is going to hold the investments in Bonds A and Bonds B before maturity, the first condition above is satisfied. The key issue is then to determine whether the SPPI criterion is satisfied before Kalmia concludes the classification of the investments in Bonds A and Bonds B.

Investment in Bonds A

The contractual terms of Bonds A are consistent with a basic lending arrangement, with the only feature as to the purpose of the bonds proceeds being that they must be used on a green project. Kalmia is able to receive the interest payments on 31 March and 30 September each year, and it expects to receive the principal amount on 30 September 2026. Thus, the SPPI criterion is satisfied.

The investment in Bonds A should be classified as subsequently measured at amortised cost. Transaction costs on the subscription of Bonds A should be included as part of the initial cost of the investment.

Investment in Bonds B

Bonds B is a non-recourse financing (i.e. there is no right of recourse of the holder to the issuer). Assessing the SPPI criterion of such financial instruments requires an analysis of the characteristics of the contractually agreed payments from the financial asset and thus a "look through to" the underlying assets or the payments from these assets. Both the contractual arrangements and the financial asset's primary risk from an economic perspective are relevant in such an assessment.

As the contractual cash flows of Bonds B are based exclusively on the revenues generated by Project Q, the payments of principal and interest are dependent on the success of Project Q. The contractual cash flows will not be paid if Project Q is not successful, and the holder of Bonds B will suffer these losses. As the credit risk associated with the cash flows is directly linked to the income on Project Q, this reflects a primary investment risk associated with Project Q which does not result in cash flows that are solely payments of principal and interest on the principal amount outstanding. The SPPI criterion is therefore not met. In effect, the contractual cash flows are not in substance fixed, and the contractual variability of Bonds B does not reflect a basic lending arrangement.

The investment in Bonds B should be classified as subsequently measured at fair value through profit or loss. Transaction costs on the subscription of Bonds B should be expensed as incurred.

Answer 4

When preparing the Environmental, Social, and Governance ("ESG") report under the listing rules of the Hong Kong Stock Exchange, the "comply or explain" provisions consist of disclosures encompassing two main ESG subject areas, which are Environmental and Social. Each subject area has various aspects, and each aspect sets out the general disclosures and key performance indicators ("KPIs") for companies to report on to demonstrate how they have performed.

Based on the information provided in this case, the relevant ESG matters focus on the subject area in relation to environmental *(Subject Area A)*. The four aspects under this subject area that Kalmia Group can report on include:

- *Emissions (Aspect A1)*

Kalmia Group provides information on its policies and compliance with relevant laws and regulations that have a significant impact on Kamia Group relating to air and greenhouse gas emissions, discharges into water and land, and generation of hazardous and non-hazardous waste. In particular, Kalmia generates a huge volume of packaging that ends up in landfills, and the plastic from its products often discharge into water, endangering marine life. Relevant KPIs include the types of emissions and respective emissions data, direct (scope 1) and energy indirect (scope 2) greenhouse gas emissions (in tonnes), as well as total hazardous and non-hazardous waste produced (in tonnes).

- *Use of resources (Aspect A2)*

Kalmia Group discloses its policies on the efficient use of resources, including energy, water, and other raw materials. This is of particular importance to Kalmia as the manufacturing processes of skincare products require huge volumes of water and its fanciful packaging uses a lot of plastic, paper, glass, and metal. Relevant KPIs include direct and/or indirect energy consumption by type (e.g. electricity, gas, or oil) in total (kWh in '000s) and intensity (e.g. per unit of production volume, per facility), water consumption in total and intensity, and total packaging materials used for finished products (in tonnes).

- *The environmental and natural resources (Aspect A3)*

Kalmia Group discloses its policies on minimising its significant impacts on the environment and natural resources and its actions taken to manage them. These narrative statements supplement the quantitative disclosures under the KPIs described above. Kalmia Group can, for example, describe how the energy-efficient machinery items used in the manufacturing process help achieve the goal of energy intensity reduction by 2.5% each year and how the recycled tube packages for its cosmetic products (and the refilling options offered to the consumers) will help reduce the amount of petroleum plastic in packaging to 50% or less by the end of 2030.

- *Climate change (Aspect A4)*

Kalmia Group discloses its policies on identification and mitigation of significant climate-related issues which have impacted, and those which may impact, Kalmia Group. Based on the information presented, the key climate-related issues to Kalmia Group are plastic pollution and how to preserve water resources. Kalmia Group identifies the physical risks (e.g. how long-term changes in the climate, such as reduced water availability, will affect its operations) and transition risks (e.g. how shifts in consumers' choices towards products that are less damaging to the climate will affect Kalmia Group). Kalmia Group then discloses its actions taken to manage the above risks.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 5

(a) 13th month discretionary bonus to employees that is payable in July 2023

Under HKAS 19 *Employee Benefits* para. 8, short-term employee benefits are benefits (other than termination benefits) that are expected to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related service.

Following HKAS 19 para. 11, when an employee has rendered service to an entity during an accounting period, the entity shall recognise the undiscounted amount of short-term employee benefits expected to be paid in exchange for that service:

i) as a liability/ asset, after deducting any amount already paid.

ii) as an expense, unless another HKFRS requires or permits the inclusion of the benefits in the cost of an asset.

Under HKAS 19 para. 19, an entity shall recognise the expected cost of profit-sharing and bonus payments under para. 11 when, and only when:

i) the entity has a present legal or constructive obligation to make such payments as a result of past events; and

ii) a reliable estimate of the obligation can be made.

A present obligation exists when, and only when, the entity has no realistic alternative but to make the payments.

If these conditions are not met, the amount is expensed when it is paid.

An entity may have no legal obligation to pay a bonus. Nevertheless, in some cases, an entity has a practice of paying bonuses. In such cases, the entity has a constructive obligation because the entity has no realistic alternative but to pay the bonus. The measurement of the constructive obligation reflects the possibility that some employees may leave without receiving a bonus. [HKAS 19.21]

An entity can make a reliable estimate of its legal or constructive obligation under a profit-sharing or bonus plan when, and only when:

i) the formal terms of the plan contain a formula for determining the amount of the benefit;

ii) the entity determines the amounts to be paid before the financial statements are authorised for issue; or

iii) past practice gives clear evidence of the amount of the entity's constructive obligation.

[HKAS 19.22]

According to HKAS 10 *Events after the Reporting Period* para. 9(d), the determination after the reporting period of the amount of profit-sharing or bonus payments, if the entity had a present legal or constructive obligation at the end of the reporting period to make such payments as a result of events before that date (see HKAS 19 *Employee Benefits*), is an adjusting event.

Based on the past practice of paying the so-called discretionary bonus recurringly, the employees have a valid expectation that they will receive the bonus this year. Accordingly, CL has a constructive obligation even though the amount is approved after the year end and it is being termed "discretionary".

The amount is already quantified to be HK$3 million in aggregate and can be reliably measured.

As the amount is to be settled in July, i.e. within 12 months from the year end date, it is a short-term employee benefit.

Accordingly, CL will need to recognise a liability with the corresponding charge to profit or loss for the amount of the bonus at 31 March 2023.

When measuring the amount payable, CL will need to factor in the possibility that some employees may leave without receiving the bonus, which can be reliably estimated based on past years' experience.

(b) <u>Bonus to top performers that is payable on 1 April 2026</u>

Under HKAS 19 *Employee Benefits* para. 8, other long-term employee benefits are all employee benefits other than short-term employee benefits, post-employment benefits, and termination benefits.

If profit-sharing and bonus payments are not expected to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related service, those payments are other long-term employee benefits. [HKAS 19.24]

The amount the employee has earned to date is recognised as it is earned.

The liability in the employer's statement of financial position will be non-current and discounted to the present value of the obligation, which is the amount the entity expects to pay. [HKAS 19.153(d), 154-155]

Service cost, net interest and remeasurements are recognised in profit or loss unless other HKFRS requires or permits their inclusion in the cost of an asset. [HKAS 19.156]

For the year ended 31 March 2023, CL will need to recognise a liability that represents the present value of the portion of the bonus that the employees have earned to date with a corresponding charge to profit or loss.

(c) Bonus to sales team that is linked to share price of CL, payable on 30 June 2026

Under HKFRS 2 *Share-based Payment* Appendix A, a cash-settled share-based payment transaction is a share-based payment transaction in which the entity acquires goods or services by incurring a liability to transfer cash or other assets to the supplier of those goods or services for amounts that are based on the price (or value) of equity instruments (including shares or share options) of the entity or another group entity.

In order to be eligible to receive the bonus, the sales team is required to provide services to CL between 1 April 2022 to 30 June 2026 and meet the annual sales target in between.

The bonus that is offered to the sales team is based on the value of the shares of CL.

Therefore, this is a cash-settled share-based payment transaction.

For a cash-settled share-based payment transaction, the entity shall measure the goods or services acquired and the liability incurred at the fair value of the liability, subject to the requirements of paragraphs 31-33D. Until the liability is settled, the entity shall remeasure the fair value of the liability at the end of each reporting period and at the date of settlement, with any changes in fair value recognised in profit or loss for the period. [HKFRS 2 para. 30]

The entity shall recognise the service received, and a liability to pay for those services, as the employees render service. [HKFRS 2 para. 32]

As the grant-date fair value of the liability is recognised over the vesting period, for the year ended 31 March 2023, CL will need to have expensed the portion of the grant-date fair value that relates to the services rendered during the period between the grant date and the year end with the corresponding liability recognised.

The liability is also being remeasured at 31 March 2023 with changes being recognised in profit or loss.

To the extent that the remeasurements relate to past services, they are recognised immediately to profit or loss. To the extent they relate to future services, they are recognised over the remaining vesting period.

Answer 6

Borrowing costs are interest and other costs that an entity incurs in connection with the borrowing of funds. [HKAS 23.5]

Borrowing costs may include interest expense calculated using the effective interest method as described in HKFRS 9. [HKAS 23.6]

An entity shall capitalise borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset as part of the cost of that asset. An entity shall recognise other borrowing costs as an expense in the period in which it incurs them. [HKAS 23.8]

The borrowing costs that are directly attributable to the acquisition, construction, or production of a qualifying asset are those borrowing cost that would have been avoided if the expenditure on the qualifying asset had not been made. [HKAS 23.10]

A qualifying asset is an asset that necessarily takes a substantial period of time to get ready for its intended use or sale. [HKAS 23.5].

Financial assets, and inventories that are manufactured or otherwise produced over a short period of time, are not qualifying assets. [HKAS 23.7]

Assets that are ready for their intended use or sale when acquired are not qualifying assets. [HKAS 23.7]

Loan A

The property is acquired and held to earn rentals. Accordingly, it meets the definition of being an investment property.

The property was already ready for its intended use or sale at the time of acquisition as construction was completed and no further work was necessary for its intended use or sale. By virtue of HKAS 23 para. 7, it does not meet the definition of being a qualifying asset.

Therefore, I disagree with management and the interest of Loan A should not be capitalised.

Loan B

The residential complex was constructed to be held for sale in DGL's ordinary course of business, and therefore it is to be classified as inventories.

Under HKAS 2 *Inventories* para. 17, HKAS 23 *Borrowing Costs* identifies limited circumstances where borrowing costs are included in the cost of inventories.

In respect of Loan B, it was borrowed for the purpose of financing the construction of the residential complex, the control of which would only be passed (i.e. revenue recognised and related inventory derecognised) at the earliest at point in time when the construction is completed.

Before the sale, work-in-progress (or inventory) would be recognised, and it is expected to take a substantial period of time to be made ready for their intended sale.

Accordingly, the resulting inventory meets the definition of qualifying assets.

Therefore, I agree that it is appropriate to capitalise the interest to the work-in-progress (or inventory).

According to HKAS 23 para. 20, an entity shall suspend capitalisation of borrowing costs during extended periods in which it suspends active development of a qualifying asset.

An entity does not suspend capitalising borrowing costs during a period when it carries out substantial technical and administrative work. An entity also does not suspend capitalising borrowing costs when a temporary delay is a necessary part of the process of getting an asset ready for its intended use or sale. [HKAS 23.20 – 21]

The suspension of construction was caused by seasonal flooding, which is a common / recurring event during the construction period in the geographical region involved.

According to HKAS 23.20 – 21, capitalisation continues despite the suspension.

Therefore, I disagree with management that the capitalisation needs to be suspended.

Loan C

The loan was borrowed in October 2022 for the purposes of funding additional operating costs, as opposed to financing the research and development of the robotic toys, which was already completed by the time the loan was drawn down.

The inventories of robotic toys did not need a substantial period of time to make them ready for intended use or sale.

Accordingly, there are no qualifying assets in this situation.

Therefore, I disagree with management's proposal in capitalising the finance charge to the cost of the robotic toys.

Answer 7(a)

Investment property is property (land or a building - or part of a building - or both) held (by the owner or by the lessee as a right-of-use asset) to earn rentals or for capital appreciation, or both, rather than for:

(a) use in the production or supply of goods or services or for administrative purposes; or

(b) sale in the ordinary course of business.

[HKAS 40 para. 5]

HKAS 40 *Investment Property* ("HKAS 40") para. 9(c) mentions that property occupied by employees (whether or not the employees pay rent at market rates) would be owner-occupied property under HKAS 16 *Property, Plant and Equipment* rather than investment property.

According to HKAS 40 para. 57, reclassification of property is based on an actual change in use rather than on changes in an entity's intentions.

In isolation, a change in management's intentions for the use of a property does not provide evidence of a change in use. One of the examples of a change in use for a transfer from owner-occupied property to investment property is "end of owner-occupation" as mentioned in HKAS 40.57(c).

With reference to HKAS 40 para. 58, when an entity decides to dispose of an investment property without development, it continues to treat the property as an investment property until it is derecognised and does not reclassify it as inventory.

Property A

Based on the HKAS 40 para. 9(c), the property would have been classified as owner-occupied property as it was leased to SRL's CEO, who would have been an employee of the company.

The approval in March 2022 was an indication of the change in the company's intention over the use of the property, but the actual change did not occur until the property was vacated and advertised for lease in August 2022.

Therefore, for the period ended 30 June 2022 the property would have been classified as owner-occupied property, but it would be classified as investment property from August 2022.

Property B

The property meets the definition of being an investment property as it is held to be leased to a third party to earn rent.

Without any development, based on HKAS 40 para. 58 the property would continue to be treated as an investment property until it is derecognised, and we do not reclassify it as inventory even though the intention over the use of the property has been changed.

Therefore, for both 30 June 2022 and 31 December 2022, Property B would have been classified as investment property.

As the property is a non-current asset that is held with an intention to sell, HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations* might become relevant.

However, the information provided is not sufficient to conclude whether the asset is available for sale in its current condition and the sale is highly probable. [HKFRS 5 para. 7-8]. So, it is inconclusive whether the property would need to be classified as a non-current asset held-for-sale.

<u>Answer 7(b)</u>

Investment property is property (land or a building - or part of a building - or both) held (by the owner or by the lessee as a right-of-use asset) to earn rentals or for capital appreciation, or both, rather than for:

(a) use in the production or supply of goods or services or for administrative purposes; or

(b) sale in the ordinary course of business.

[HKAS 40 para. 5]

The measurement of deferred tax liabilities and deferred tax assets shall reflect the tax consequences that would follow from the manner in which the entity expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities. [HKAS 12 para. 51]

In some jurisdictions, the manner in which an entity recovers (settles) the carrying amount of an asset (liability) may affect either or both: (a) the tax rate applicable when the entity recovers (settles) the carrying amount of the asset (liability); and (b) the tax base of the asset (liability). In such cases, an entity measures deferred tax liabilities and deferred tax assets using the tax rate and the tax base that are consistent with the expected manner of recovery or settlement. [HKAS 12 para. 51A]

If a deferred tax liability or asset arises from investment property that is measured using the fair value model in HKAS 40, there is a rebuttable presumption that the carrying amount of the investment property will be recovered through sale. Accordingly, unless the presumption is rebutted, the measurement of the deferred tax liability or deferred tax asset shall reflect the tax consequences of recovering the carrying amount of the investment property entirely through sale.

This presumption is rebutted if the investment property is depreciable and is held within a business model whose objective is to consume substantially all of the economic benefits embodied in the investment property over time, rather than through sale. If the presumption is rebutted, the requirements of paragraphs 51 and 51A shall be followed. [HKAS 12 para. 51C]

The office building would have met the definition of being an investment property under HKAS 40 para. 5 as it is being leased out to third parties.

As SRL is applying the fair value model to measure its investment properties, the requirement in HKAS 12 para. 51C applies – there is a rebuttable presumption that the carrying amount of the investment property will be recovered through sale.

In that case, the profit tax rate of 16.5% would be applicable to the portion of temporary difference that arises from the difference between cost and the tax written down value, but a tax rate of 0% would have been applicable to the portion of temporary difference that relates to the excess of fair value over cost.

If, however, SRL manages to rebut the presumption in HKAS 12 para. 51C and proves that the office building is held within a business model whose objective is to consume substantially all of the economic benefits embodied in the investment property over time rather than through sale, then the tax rate of 16.5% would become applicable to the whole temporary difference (i.e. the difference between the fair value and tax written down value).

* * * END OF EXAMINATION PAPER * * *